

dangerous when there is no underlying long-term value proposition to the asset. In these cases, it's as bad as gambling (or worse, as there's an illusion of value).

We sometimes hear skeptical investors warn of the dangers of bitcoin. Nout Wellink, the former president of the Dutch Central Bank, is famous for saying, "This is worse than the tulip mania. At least then you got a tulip, now you get nothing."¹⁹ While we understand that some may have a hard time grasping that something with no physical form could have value, at this point in its life, bitcoin is a far cry from tulips.

The key to understanding bitcoin's value is recognizing it has utility as "Money-over-Internet-Protocol" (MoIP)—allowing it to move large amounts of value to anyone anywhere in the world in a matter of minutes—which drives demand for it beyond mere speculation. While tulips have aesthetic appeal, it is a stretch to argue that their utility is on par with MoIP in the digital age. It's important to investigate the underlying utility of any other cryptoasset that the innovative investor may be considering.

That said, bitcoin has had periods when crowds momentarily overtook the markets. These times are worthwhile to examine and learn from, and it's important to note that bitcoin has always recovered from these periods of mass speculation, a major differentiator from tulips. There are six periods over the last eight years when the crowd temporarily controlled the bitcoin market. The innovative investor will take note that the power of crowds to move